Procurement Fraud Red Flags Reference

Detection patterns, typical benign explanations, and corroborating checks · Knowledge base v1.0

1. How to use this reference

Each red flag below maps to detection scenarios that raise alerts. For each flag: what the pattern is, what it may indicate, common benign explanations to rule out, and the corroborating checks an investigator should perform before dispositioning.

2. Bid and tender manipulation

Red flag	May indicate	Benign explanations	Checks
Single-bid awards or repeated wins by one supplier in a category	Tailored specifications; bid suppression	Genuinely specialized market; framework agreement	Compare specification history; market analysis; rotation of winners across similar tenders
Losing bids consistently just above the winner (complementary bidding)	Bid rotation cartel	Standard industry pricing formulas	Cross-tender price pattern analysis; shared metadata between bid documents
Late bid accepted, or evaluation criteria changed after opening	Favoritism toward one bidder	Documented procedural exception	Review approvals and timestamps in the tender file

3. Purchase order and invoicing patterns

Red flag	May indicate	Benign explanations	Checks
Split purchase orders — multiple POs to one supplier, each just below an approval threshold, in a short window	Threshold avoidance to bypass oversight	Legitimate phased delivery; urgent operational needs	Aggregate same-supplier POs over 30/60/90 days against the threshold; review the requester's approval history
Round-amount invoices (multiples of 1,000/10,000) at unusual frequency	Fabricated or inflated invoicing	Fixed-fee contracts, retainers	Match invoices to contracts and delivery evidence
Invoices dated before the PO, or paid faster than the standard cycle	Collusive fast-tracking	Emergency procurement with documented waiver	Review payment approvals and the exception log
Duplicate invoice numbers or amounts across suppliers	Shell-company re-billing	Clerical duplication (reversed)	Bank-account and address overlap analysis between the suppliers involved

4. Supplier identity and network flags

Red flag	May indicate	Benign explanations	Checks

Shared directors, addresses, phone numbers, or bank accounts between competing suppliers	Cartel or shell network simulating competition	Corporate groups bidding through subsidiaries (should be disclosed)	Network expansion in Visual Investigator; registry lookups; disclosure review
Supplier address matches an employee address, or a director matches an employee or their close associate	Undisclosed conflict of interest	Coincidence of common names (verify identifiers, not names)	Identity resolution on registered identifiers; HR declaration records
Newly registered supplier winning large awards immediately	Front company	Legitimate new market entrant with track record elsewhere	Registration date vs first award; beneficial ownership; prior trading history

5. Materiality guidance

Flags gain significance in combination. One flag on one transaction is usually noise; the same supplier showing threshold-splitting, round amounts, and a network link to an evaluator is a strong escalation candidate regardless of individual amounts. Score the pattern, not the single event.